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## **FOSSIL FUEL SUBSIDY REFORM (FFSR) INITIATIVE MINISTERIAL STATEMENT**

The following communication, dated 26 March 2026, is being circulated at the request of the delegations of Albania; Chile; Colombia; Costa Rica; European Union; Fiji; Iceland; Liechtenstein; Moldova, Republic of; Montenegro; New Zealand; North Macedonia; Norway; Panama; Paraguay; Samoa; Switzerland; Tonga; United Kingdom; Uruguay; and Vanuatu.

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We, the Ministers representing the following WTO Members: Albania; Chile; Colombia; Costa Rica; European Union; Fiji; Iceland; Liechtenstein; Moldova, Republic of; Montenegro; New Zealand; North Macedonia; Norway; Panama; Paraguay; Samoa; Switzerland; Tonga; United Kingdom; Uruguay; and Vanuatu issue this statement:

1. *Recalling* the WTO FFSR Initiative Joint Ministerial Statement issued at MC13 in Abu Dhabi ([WT/MIN\(24\)/19](#) of 26 February 2024), as well as the commitments made internationally to fossil fuel subsidy reform under Sustainable Development Goal 12(c) of the 2030 Agenda, in the context of the Paris Agreement on Climate Change and by the G7, G20 and APEC Members;
2. *Deeply concerned* about the continued high levels of government support for fossil fuels, estimated in 2025 as at USD 0.92 trillion<sup>1</sup>;
3. *Recognising* the contribution fossil fuel subsidy reform can play in continuing efforts to limit global temperature increases to 1.5 degrees above pre-industrial levels and lower climate-related risks, as well as to delivering wider trade, economic, social and environmental benefits;
4. *Recalling* the role trade can play as a powerful enabling force for progress to achieve sustainable development;
5. *Building* on the analytical work and constructive discussions held under the WTO FFSR Initiative in the period since the 13th WTO Ministerial Conference, Members of the WTO FFSR Initiative intend to;
6. *Advance* our work to achieve the rationalisation, phase out or elimination of harmful fossil fuel subsidies, including through use of existing mechanisms or the development of new pathways to reform, through continued pursuit of the programme of work adopted at MC13 ([WT/MIN\(24\)/19](#) of 26 February 2024), under the following three pillars:
  - A: Enhanced Transparency;
  - B: Crisis Support Measures; and

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<sup>1</sup> Joint OECD-IEA estimate, OECD Inventory of Support Measures for Fossil Fuels 2025, published December 2025.

- C: Identifying and Addressing Harmful Fossil Fuel Subsidies.
7. We adopt the following outputs from the WTO FFSR Initiative to date:
- Pillar One – Enhanced Transparency
    - updated non-exhaustive list of sample questions on fossil fuel subsidies and fossil fuel subsidy reform for regular use in WTO Trade Policy Reviews (Annex I); and
  - Pillar Two – Temporary Crisis Measures
    - guidelines for designing transparent, targeted and temporary fossil fuel subsidy measures in response to energy crises (Annex II).
8. Ministers take note of the progress report [WT/MIN\(26\)/24](#) by the coordinator on work undertaken within the WTO FFSR Initiative since MC13.
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**ANNEX I****UPDATED NON-EXHAUSTIVE LIST OF SAMPLE QUESTIONS ON  
FOSSIL FUEL SUBSIDIES AND FOSSIL FUEL SUBSIDY REFORM  
FOR REGULAR USE IN WTO TRADE POLICY REVIEWS**

*As part of efforts to promote enhanced transparency in relation to fossil fuel subsidies and fossil fuel subsidy reform, the co-sponsors of the WTO Fossil Fuel Subsidy Reform Initiative have developed the following updated non-exhaustive list of sample questions. They are intended for use, on a voluntary basis, to guide the preparation of information for and engagement with other Members on these issues in WTO Trade Policy Reviews.*

**Information about existing or planned fossil fuel subsidy measures**

1. Noting the commitment made to fossil fuel subsidy reform under SDG 12(c) of the UN 2030 Agenda, could [WTO Member under review] please provide information about the nature, extent, policy objectives, design, beneficiaries, and implementation of any programmes or schemes, existing or under consideration, that support the production or consumption of fossil fuels? *(Where information is provided, but is incomplete: could [WTO Member under review] please provide more information about the programmes or schemes that support the production or consumption of fossil fuels discussed in [the Member's TPR report], or any others that may be under consideration?)*
2. What was [WTO Member under review]'s response to the 2021 energy crisis in terms of temporary measures that support the production or consumption of fossil fuels?

**Information about current and planned reforms of fossil fuel subsidy measures**

1. How is [WTO Member under review] implementing commitments to accelerate efforts to rationalize and phase out harmful fossil fuel subsidies agreed at recent UNFCCC COPs and in line with UN Sustainable Development Goal 12(c)? What steps have been taken to ensure any remaining subsidies, where they exist, deliver on the objectives of UN SDG 12(c)? For G20 Members: What steps has [WTO Member under review] undertaken to abide by its G20 commitment to phase out inefficient fossil fuel subsidies, and what steps are planned to implement this phase-out? *(If information about FFSR has been provided: could [WTO Member under review] please provide more details about its experiences with reforming and phasing out programmes supporting the production or consumption of fossil fuels?)*
2. What steps has [WTO Member under review] taken to phase out any temporary measures in support of the production or consumption of fossil fuels adopted in response to the 2021 energy crisis?

**Information about impacts of fossil fuel subsidy measures**

1. Has [WTO Member under review] undertaken recent analysis of the economic, social and environmental impacts of fossil fuel subsidies it applies, including on different beneficiary groups, and what have been the findings?
  2. Could [WTO Member under review] please provide information on the impact of fossil fuel subsidies on the actual costs paid domestically for fuel, on any frameworks used to review or assess the efficiency of particular subsidies and on the government's budget?
  3. In the context of fossil fuel subsidy reforms, what actions are being taken to ensure more effective targeting towards and/or mitigate the effects on vulnerable groups? What factors (for example remote location, climate conditions) are taken into account in determining vulnerable groups?
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## **ANNEX II**

### **GUIDELINES FOR DESIGNING TRANSPARENT, TARGETED AND TEMPORARY FOSSIL FUEL SUBSIDY MEASURES IN RESPONSE TO ENERGY CRISES**

#### **Transparent**

- Follow good regulatory practice in the development and publication of measures, including through use of existing transparency mechanisms, and with due regard to relevant WTO notification requirements.
- Communicate clearly the rationale, approach and nature of such measures - including that they are intended to be temporary only – to all interested stakeholders.

#### **Targeted**

- Ensure a clear focus on most affected stakeholders (e.g. poorest or most vulnerable households).
- Avoid untargeted fossil fuel subsidies that distort the cost of fossil fuels in comparison to alternatives, are economically inefficient and impose high fiscal costs.
- Consider alternative measures, including support for the just transition and clean energy sources, income support and other energy-neutral support measures, to deliver most efficient and effective targeting of temporary measures.
- Examine ways to boost the energy transition, including through support for clean energy sources promoting energy efficiency and conservation, to enhance longer-term energy security, including for the most vulnerable population groups.

#### **Temporary**

- Make such crisis support measures temporary, including by:
  - setting limited timeframes, with clear end-dates (these could be supplemented, if needed, by clear criteria for consideration of any extension to these timeframes);
  - building in regular review clauses and/or sunset clauses, unless already provided;
  - incorporating built-in transition mechanisms to ensure smooth and progressive adaptation if applicable.
- Consider the most efficient and effective ways to phase out such temporary measures, including starting with the least targeted ones, and continuing to refine the targeting of any remaining measures to facilitate their subsequent removal as well.

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